

Human Resource Management — Consolidated Course Notes

*A single, unified set of notes merging both notebooks and added academic depth.
Organised in the order the course flows: foundations → cases in sequence → frameworks
reference → exam strategy. Two light conventions are used throughout: **Academic anchor**
(italic) flags the scholarly source of a concept, and ⚠ flags a point where the two source
notebooks disagree.*

1. Course Method & How to Use These Notes

The end-term is **case-based and open book**, and the course is deliberately **application-based** — so *how* you reason on a fresh case matters far more than what you can recall. Pay attention to *how the class itself is run*, because the method is part of the lesson. Almost every session is a **case analysis** done before class, and the guiding principles are meant to be taken *with a pinch of salt* — you take the liberty to analyse for yourself. There is one **closed-book quiz**.

Class participation rewards **high-quality contributions** that *extend* the discussion and *critique after hearing* others — never repeat a point, rephrase or build on it.

The single most useful habit for the exam: answer any case with **Diagnose → Frame (name a framework) → Recommend → name the Trade-off**. Everything below is arranged to feed that structure.

2. What Is HRM? — Foundations

HRM has **no single standard definition**; you *apply* it to the case in front of you. At its core, HR is an **enabler that sits at the interface between line managers and employees**, touching many aspects of the employment relationship. Every HR situation has a **formal element** (how things *should* be — the ideal, the rule book) and an **informal element** (how things *actually* are). HR management is essentially **planning + organising + coordinating**, all in service of **fulfilling the company's interest by ensuring the performance of its employees**.

The gist that the whole course builds toward: **HRM exists to enable the business model** —

to make money. Satisfaction and relationships are *instrumental* to that, not ends in themselves; the pointed question is *“does anyone care if the employee is happy, except insofar as the business is at stake?”*

The **central tension** HR manages is that the **employee wants more money while the company wants to pay less** — HR’s job is to manage the **middle ground**.

Decoding the three words: **Human** = knowledge, capital, labour; **Resource/Management** = controlling, planning, coordinating.

2.1 The AMO Framework (the spine of the course)

Performance = f(Ability × Motivation × Opportunity). The three combine **multiplicatively** — a gap in *any one* collapses performance, because high scores on the other two cannot compensate. The practical target is **discretionary effort**: the gap between the minimum someone must do and the maximum they could do.

Academic anchor: Appelbaum, Bailey, Berg & Kalleberg (2000) — the foundation of High-Performance Work Systems.

HR builds each lever through specific activities:

Lever	What it is	HR activities that build it
Ability ("can-do")	Skills, knowledge, aptitude	Recruitment & staffing, training & development, person–job fit, workforce planning, appraisal, feedback conversations
Motivation ("will-do")	Willingness to exert effort	Compensation, rewards, recognition, employee morale, parties & interventions, performance appraisal
Opportunity ("allowed-to")	Structural room to perform	Job design, autonomy, voice, communication, legal compliance, POSH, diversity & inclusion, labour relations, grievance redressal, ethics

Deploy it as a diagnostic: on almost any people problem, ask which pathway is actually failing — *“they fixed Motivation but ignored Opportunity, so performance won’t move.”*

2.2 The Roles HR Plays

Class framing: HR acts as **Line Manager, Strategist, Administrator, and Facilitator**, with the blunt objective *“get the work done”* — *if you don’t affect the bottom line, leave.*

Academic anchor — Ulrich’s model: a 2×2 of **strategic ↔ operational** against **process ↔**

people yields four roles: **Strategic Partner** (align HR policy with business strategy), **Change Agent** (drive change, manage transformation), **Administrative Expert** (ensure efficient systems/policies), and **Employee Champion** (advocate for employee needs/morale). This maps cleanly onto the class's four roles.

2.3 HRM as a System, and as a Process

As a system: every element of HR **interacts with and impacts every other** — the practices are an interdependent web, not independent tools. Change one lever in isolation and the effect ripples through the rest, which is why practices can either be “*deadly combinations*” that cancel out (e.g., rewarding individual results while demanding teamwork) or “*powerful connections*” that amplify each other. This is the operational meaning of **horizontal fit**.

Within the system, the **formal** and **informal** dimensions coexist — and the course's anchoring insight is:

Unless the informal system changes, the formal system will not have much impact.

Why: employees act on the norms they *perceive* (learned by checking with peers), not on the written rules. HR practices pass through three stages — **intended** (what HR designs) → **actual** (what managers do) → **perceived** (what employees experience) — and people respond to the *perceived*. The informal system also carries the **psychological contract** (unwritten mutual expectations), whose violation drives disengagement far more than any formal breach.

As a process: HRM is **multifaceted and depends company to company** — the *best-fit* view, not a one-size formula.

2.4 Strategic HRM and “Fit”

Two kinds of alignment matter:

- **Vertical (external) fit:** HR strategy aligned *upward* to business strategy.
- **Horizontal (internal) fit:** HR practices reinforce *each other* as a coherent **bundle** (a High-Performance Work System).

The subsystem chain that must hold together: **Business strategy → HR strategy → Staffing → Training → Performance management → Compensation**. Within it, the **performance-appraisal system is the “crux”** that generates actionable insights for every other sub-function, so it needs **constant monitoring until a new system fully takes shape**.

The course's summary framework is **SHRM = SSBC: Strategy, Structure, Competency,**

Behaviour — and HRM should enable the business decision. (⚠️ Notebook 1 recorded this as Strategy / Structure / Competency + “business model”; Notebook 2 adds **Behaviour** and the SSBC label — learn the four-pillar SSBC version.)

Academic anchors worth naming for depth: the **best-fit vs best-practice** debate (Pfeffer’s high-commitment practices are the universalist side; the course leans **best-fit**); the **Harvard model** (Beer et al. — stakeholder interests + situational factors → the “4 Cs”: Commitment, Competence, Congruence, Cost-effectiveness); the **Michigan/matching model** (the HR cycle: Selection → Performance → Appraisal → Rewards → Development, tightly matched to strategy); and the **Resource-Based View** (people are a competitive advantage when Valuable, Rare, Inimitable, Non-substitutable).

2.5 Managing People by Power and Interest (Mendelow)

Academic anchor: Mendelow’s Power–Interest matrix. Stakeholders are mapped on **power** against **interest**:

	Low Interest	High Interest
High Power	Keep Satisfied	Manage Closely / Key Players
Low Power	Monitor (minimal effort)	Keep Informed

Class nuance: **interest can be positive or negative** — a high-power stakeholder who is *negatively* interested is the most dangerous quadrant. (This explains why John Mack manages the MDs — high power, high interest — with personal attention rather than memos.)

3. Case: Morgan Stanley — Becoming a “One-Firm Firm” (John Mack)

Company overview. Historically an investment bank, later diversified into other financial services; grew rapidly in headcount and geography (HQs in NYC, London, Tokyo); IPO in 1986.

The transition (1980s–90s). Changing consumer preferences and market conditions pushed clients toward **transaction-based, multi-banking relationships** instead of long-standing single-bank ties. Around **1993, globalisation/internationalisation** meant **no boundaries for labour, capital, or customers** — firms operated from one base country but sold worldwide (e.g., manufacturing shifting to China, services to India). Client needs became complex, and a single client could be served by **different divisions for different**

purposes → the strategic logic of **cross-selling**.

What does John Mack want? More profit — “*money and more money*” — achieved through **cross-selling and collaboration** (the “one-firm firm”).

The diagnostic trap (very examinable). The obvious symptoms — toxic culture, attrition, weak employer brand, “can’t attract talent, people quit” — are largely *not actually happening in the case yet*. Always ask first: “**Is the problem even there?**” Much of it is not mentioned; don’t react to noise.

3.1 The 16 Internal Issues (grouped and AMO-tagged)

A ready-made diagnosis structure — memorise the *grouping*, not all 16 verbatim.

Leadership / top-management & strategy

1. Unequal distribution of wealth among partners **(M+O)**
2. Increased workload on managers from growth + diversification
3. Top-leadership rivalry; clashing strategic objectives; working-style differences
4. Business units focused on **individual** P&L, ignoring impact on the firm
5. Some leaders fixated on **short-term** profit

Systemic 6. Slow decision-making → ineffective response 7. Shortage of leadership expertise / management talent **(A)** 8. No career-development system; no development conversations **(A+O)** 9. No performance-appraisal system; no monitoring; no cross-division comparison to compensate fairly **(A+M)** 10. Promotion criteria purely individual and swayed by a few informal comments / “general feeling” **(M+O)** 11. No course-correction guidance for juniors; no mentorship **(A)** 12. Recruitment not standardised to the job; vague ideal-candidate definitions; no JDs **(A)**

Cultural 13. No incentive to help peers **(A)** 14. Subordinate abuse **(M)** 15. Institutional-memory problem in appraisal **(M)** 16. Different businesses, different people, **no common goal**

3.2 Leadership Styles

Greenhill	John Mack
Profit-oriented, arrogant	Hands-on, engaged across all rungs
Division-focused	Listens to multiple perspectives

Immediate-reward-seeking, power-hungry	Good orator; unifying; leads by example
	Culture-driven; long-term-vision driven

3.3 The Cross-Selling Problem and Its Levers

Once one problem is solved, the client leaves unless you cross-sell, so cross-selling keeps the **client coming back**; the approach is *the same across sectors*. But **if people hate each other, they won't refer to each other** — so the human problem is *how do you make them say nice things about each other?* Levers: **Incentives, Communication, KPIs**.

Beware the **incentive trap**: a cheap referral incentive (₹100–200 on a ₹1000 fee) is a **myopic approach** — you need a **long-term approach** (*as DeLong stressed*). A **piece-meal approach won't be authentic or long-term and can produce a counter-effect**.

The Tournament Model. Rewards tied to **relative rank, not absolute output** — cheap to run, drives huge effort, seen in FMCG (HUL) and Pharma. *Academic anchor: Lazear & Rosen (1981)*. **Its dark side is the core of this case**: ranking peers against each other makes helping a colleague *irrational* — it destroys the very cross-selling and collaboration Mack wants. A tournament culture and a “collaborate” goal are in direct tension.

3.4 The “Means” — Revamping the Appraisal System

Mack's problem statement is to **revamp the performance-appraisal system**, on three design choices: (1) tie **% of compensation to company performance** rather than divisional revenue; (2) decide **developmental vs evaluative** nature; (3) set how far **evaluation is tied to compensation** (fixed + variable). Build in: **different metrics for different designations**, an **incentive to collaborate across divisions**, guaranteed **employee development**, a **360° comprehensive analysis**, a blend of **evaluative + developmental** goals, a **mix of divisional + employee + company performance**, and **reassignment/reorganisation** where a better fit exists.

3.5 MS-1 vs MS-2 — Two HR Systems

	MS-1 (sharks)	MS-2 (⚠️ “goldfish” / N1: “dolphin”)
Recruitment	IQ, analytical, individualistic	IQ, analytical, collaborative ; done by <i>multiple people</i> so hiring is owned by the <i>firm</i> , not one partner
Socialising	Only with the partner	One-week, collaborative, company-wide
T&D	Self-initiated, no formal	Technical, problem-solving, management, leadership,

	training	ethics
PAS	No feedback, ad-hoc	Interpersonal, teamwork, ethics; 360° (peers, subordinates, bosses, customers/clients); anonymised
Compensation	Individual + division	Individual + overall business (firm-wide)

In both, **all HRM elements are interconnected, so the system worked — but success still depends on the informal system.** Also note the *hard signals* $\approx 80\%$ vs *soft signals* $< 2\%$, yet the soft signals are the real success criteria; and that the committee-based MS-2 hiring **raises cost and lead time.**

3.6 How Mack Actually Drives Change

He does **not** legislate collaboration. He works the **informal system — dinners, conferences, bonding activities** — using them as **signals** that say “*you matter*” and “*I have changed.*” *Academic anchor: Spence’s signalling theory — a signal is credible only if it is costly and hard to fake*, which is why Mack showing up personally carries weight a memo cannot. You know change is real through the informal system → **gossip.**

This is a **1st-order change** (a shift in **perception**) that must precede **2nd-order change** (the actual substantive shift). *Over-focus on the outcome and smart people resist* — hence **focus on the process, not the outcome** (the “Silicon Valley HR” point).

Will it stick? — the CCD / strong-system test. Judge any change on:

- **Consensus** — everyone (and the decision-makers) agree it’s genuine and fair
- **Consistency** — repeated over time, same across managers (credible cause-effect)
- **Distinctiveness** — visible, salient, impossible to ignore

Academic anchor: Bowen & Ostroff (2004), “strength of the HRM system,” rooted in Kelley’s attribution theory. Powerful corollary: **even a “wrong” system, if consensus + consistency exist, people will buy it — process can dominate content.** Class nuance: **distinctiveness only matters when something new is introduced**; day-to-day, Consistency + Consensus carry the load.

4. Case: Rob Parson & Paul Nasr at Morgan Stanley — The Promotion Decision

*A separate Morgan Stanley case: whether to **promote a star producer who is a poor***

cultural fit to Managing Director.

4.1 The Decision — Promote Rob Parson, or Not?

Against promoting	For promoting
Would “ruin the system”; violates rules	Top performer
Rude to subordinates; low management rating	Strong cross-selling
Rushed, immature decisions; no strategic view	Increased market share
Isolated; not a team player ; bad delegation	Good client handling
Not improving on flagged points	Has shown improvement
Not an MD role model; less approachable	Hard to replace
Signalling effect (wrong message)	Signalling effect (also a message)

The “signalling effect” sits on **both** sides — whichever way you decide, you send a signal. That’s the trap.

4.2 Paul Nasr — the Manager in the Middle

An **MD profile** requires high technical expertise, complicated **problem-solving**, commanding respect, planning & organising, influencing others, client confidence, leadership. Principle: **promotion is based on the requirements of the new job; compensation on current performance**. Does Rob meet the MD requirement? **Not really.**

Nasr’s own failures: recruitment & selection **not aligned to “one-firm firm”**; **no T&D** despite knowing Rob came from a different background; Nasr *himself* unclear on “one-firm firm.” Using the current appraisal to fix Rob is risky — it can’t really influence him, invites **legal complaints** from other MD candidates, and promoting him **signals the wrong thing**.

4.3 The Payoff Line (memorise)

John Mack designed the system. Paul Nasr formulates & executes it (a *system* approach). Rob Parson lives and acts it out (a *people* approach).

And the deeper point: **systems are designed to reduce individual discretion** — which is exactly why a brilliant star who defies the system is such a threat.

5. Recruitment & Selection — SG Cowen

Hiring = Recruitment + Selection. Recruitment is a **positive, “pull,” widening** process (float ads, attract applications); selection is a **negative, “push,” narrowing** process (eliminate from the pool). *Recruitment determines the kind of people who apply* — so **too many bad candidates = bad recruitment**. We hire people for their **abilities**, and **AMO is stitched into selection**: do they have the *ability*, are they *motivated*, can we give them the *opportunity*?

5.1 The Two Statistical Errors

- **Type 1 (false positive)**: hire someone **low-potential** — a bad hire.
- **Type 2 (false negative)**: reject someone **high-potential** — a missed star.

Errors **can never be zero**, only minimised. **Lenient hiring → high Type 1; strict hiring → high Type 2**. Because the *perfect candidate doesn't exist*, you'll always commit one. **Cost asymmetry**: a Type 1 error is visible and embarrassing (you watch them fail), a Type 2 error is invisible (you never know the great hire you rejected) — so firms over-index on avoiding Type 1 and quietly rack up Type 2. Type-1 errors are more tolerated at **entry level** when the employer brand is weak and the industry is growing (you can train them up). The error mix also depends on **how rigid your process is + the company + labour markets + how the business is performing**.

5.2 The Selection Process

Clarify the role first (Step 1 — the JD). The SG Cowen wish-list — tech skills, self-starter, leadership, communication, quick learner, multi-tasking, collaborative, interpersonal skills, entrepreneurial, competitive, target school, interest in finance, long-term potential, commitment, relevant experience — describes a person who **doesn't exist**. So define the JD: **what / where / who will hire / how**, pick **2–3 non-negotiable qualities**, study the traits of the firm's **top performers**, and convey the right message to attract the **right** candidates (**avoid too many or too few** applications).

Then move down the funnel. Reliability hierarchy of tools: **JD > CV > Interviews > Psychometric > Recommendation**.

- **Application (Step 2)**: education, work experience.
- **Interview (Step 3)**: an opinion forms in **~30 seconds** and the rest is used to **confirm/reject** it (**confirmation bias**). *Bias/first-impression* and *unstructured (ice-breaker)* interviews risk hiring the wrong person; *structured* interviews are more reliable but candidates can prepare and you may **miss the essence of the role**. Lean **structured**, and **segregate the interview into parts** with a scored rubric.

- **Psychometric (Step 4):** *no proven link to performance; not useful at junior levels*, more so at **senior/CXO** level to read values/character; ethical concerns; test-based = purely predefined parameters.
- **BGV (background verification):** flagged for **low sensitivity + specificity**. **LORs:** treat with cynicism. **Live/job tests:** hard to interpret; not always practical.

5.3 Biases and How to Reduce Them

Named biases: **halo effect, closure bias, similarity/relatability bias, mood-based subjectivity, confirmation bias**. A mixed panel *amplifies* the issue — biases creep in and “people create their own stories.” **Relatability** is the sharpest: interviewers favour their own “type” (in the case, **PGP → Natalya, PGPX → Ken, Armed Forces → Martin**).

You can’t remove bias, only reduce it. Tactics: a **clear JD / role spec; structured** interviews segregated into parts; **monitor process / quality / criteria; triangulation — 3 people judging by 3 methods**; anchor to **target audience → values**; design the application to **exclude gender/photo**; require **BGV** on recommendation letters. Interviewers should **agree on the non-negotiables** but may differ beyond that. And accept the 90% reality: **chuck out the bottom 10% and there’s little differentiator left in the remaining 90%**. The key questions throughout — **what? why? where? (how?)** — are the process of selecting and evaluating.

5.4 The Four Candidates

- **Natalya** — **+** academic profile, commitment, work experience, recommendation letter, skillset, B-school, preparedness, work ethic. **—** culture fit, stiff, slow learner.
- **Martin Street** — **+** handled high-stakes situations; wouldn’t be held for honesty. **—** no relevant work experience, didn’t appear interested, poor fit.
- **Ken Goldstein** — **+** experience, leadership, maturity, multi-tasking, cultural fit (WLB shouldn’t be a concern). **—** may not take orders, job fitment, less sociable.
- **Andy Sanchez** — **+** good exam scores, business experience, social skills, genuinely interested, focused, proactive, time management. **—** average grades, parallel business, prioritisation issues, *enthusiasm may be a façade*.

The final lesson: bias is unavoidable, so **reduce** it and **anchor selection to the firm’s values** rather than the interviewer’s affinity. (Correlating Rob Parson with “one-firm firm” — promote or not — bridges directly back to Case 4.)

6. Performance Management System (PMS)

PMS is a subsystem; appraisal is one (small) part of it. An ideal appraisal is objective, transparent, fair, and just — but that ideal is never fully reached.

Numbers create a false illusion of objectivity. Just because something is quantified doesn't make it objective — *you end up adding your own stories to justify the numbers*, and you often measure a **continuous variable as if it were discrete**. The gap between the **ideal, the real, and the perceived** (the 70-vs-100 illusion; the “*Salman Khan in Sultan*” theatrical-performance analogy) means appraisal **stays subjective** underneath the metrics.

Why appraise at all? Fire/control; rewards/promotion; influence; shape desired behaviour; development; **signalling (justifying)**; legal requirement; basis for compensation. **Design the system around what is most important to measure.**

What to measure? Make it **uniform** (via weightages), **reliable** (effectiveness), and **relevant** (the competencies that actually matter). It's “*important to know what does **not** work along with what works.*” Ask *what is the one department the whole company depends on?* and *what's the single biggest problem in the org?* — distinguishing the **core department from support systems**. And remember: **even a “wrong” system, with consensus + consistency, will be bought** (CCD again — *consensus can beat correctness*).

Who should measure? (multiple vs single rater). Whoever *has the information*: boss, superior, peer, subordinate, outsider, client, customer. The idea that *you must like people to work with them effectively is stupid* — **maturity** in handling this is what's needed.

360° feedback — its proper use. Use it for **development, NOT for promotion/reward decisions** — the moment it carries stakes, raters inflate, collude, or retaliate and validity collapses. Keep the data as **backup for audits**; a high-stakes decision is *too important to spread around* — better to have responsible, trained people making it.

6.1 The PMS Multi-Case (Kavitha S / Rajesh / Desai / Mehta)

Framework: **AXZ–UTVC**, driving decisions on **Retain, Pay, Move-up, Movement**, and **Ranking & Rating**. Evaluate a performer on real criteria (promotion, knowledge-transfer, CSAT, delivery, niche/research, toughness of the project, awards, CSR) while separating **basic minimum requirements from the genuinely relevant “extra.”** Weigh **serious factors vs soft factors**: *how much weightage, how accurately can you measure it, and can it be used to justify a pre-made decision?* — *because the devil is in the details, and the main thing may be hidden in the footnotes.*

Behavioural truths from the case: **be friends with each other (consulting)** — your batchmates become your clients; **bad days are why you're hired** — handling fires and critical, deadline situations; **star performers are the hardest to manage**; and **a reward for some is a punishment for others** (“*ek to hi reward milta hai, mai kyu hi kaam karu?*”). The **ideal subordinate task** is: *how well can you support your boss's deliverables?*

Rajesh vs Manager (Desai).

Rajesh	Manager (Desai)
Doing what the job says	Seniority "just announced" (<i>bol diya</i>)
Timely	Setting expectations
Quality	Communication
	Insubordination (slamming the door)

Manager's lesson: *you're paid a lot to manage the mess — you can't give excuses that the mess was there. **The buck stops with you.*** Differentiated PMS: **B = CSAT / attitude & behaviour; D = timelines / delivery / expectations**; M shows a mix of *unbiased, allowed study leave* (**+**) and *impulsive, people-pleaser, should have held a meeting, needed consensus* (**-**).

Mehta — the macro/system view. Rajesh needs **people skills** (1 CSAT); Desai has **technical + people** (10 CSAT); Mehta must take a **macro → systematic → strategic** view. It's **system vs symptom / root cause** — *rarely does an IC take a macro view*. Two failures: **not taking a system-level view**, and **grievance redressal** where **Desai sitting in the committee = conflict of interest**.

Two gaps to close: **Δ1** = technical → technical + people (Rajesh); **Δ2** = technical + people → systematic view (Desai/Mehta). **Δ2 >>> Δ1** — the leap to a systemic mindset is the hardest in most orgs.

Managerial takeaways: a top manager **shouldn't do day-to-day work** — focus on the **system**, not the individual; **delegate and support Desai, don't do his job**; the **signalling of availability** matters, but you can't be in every small issue; **hierarchy and proper channels** matter; escalating small issues straight to the top makes you look like you're *adding problems, not value* → you get quietly asked to leave. Context factors: **policies are Mehta's responsibility**; **smaller firms feel more pressure to retain**; **develop/groom Desai**; move from **individual → group → org level**; and **integrate appraisal into the larger career-management system**. Broadly: *tie the case to people's personal goals; don't get too involved or lose control; think of the **ROI** of every conversation; ~80% of managers fail from **system-collision** issues, so make a plan and be mindful of collateral damage; treat the system, not every small case.*

The John Mack contrast. John Mack was **very involved (good)** — his availability-signalling was a *deliberate* part of the HR system. Mehta was **too involved** and lost the macro view. **Anticipate the size of the problem and solve accordingly.** (And recall Paul Nasr: *system*

approach vs Rob Parson's *people* approach.)

7. Compensation & Total Rewards — Xiamen Airlines

Compensation = Basic pay + Variable/Incentive + Benefits + Perks, and it **feeds back into recruitment & selection** because it shapes *who* you attract.

- **Basic pay** → legal requirement; basic disposable income; job security.
- **Incentive/variable** → motivation to perform.
- **Benefits** → build hierarchy; retention + attraction.
- **Perks** → *created by* hierarchy and *to create* hierarchy (parking, lounge, the “cabin” example); **exaggerate the benefit; tax management.**

Compensation even **decides selection**: high-variable-pay roles self-select **confident, aggressive risk-takers** (profile A over B).

7.1 The Xiamen Situation

Industry trend: rapid expansion, **pilot shortage** in the market, competition from other transport modes, regulatory curbs. **Company problems**: performance **decoupled from pay**, no coaching for junior pilots, **salary disparity between foreign and local pilots** (\$40k vs ~\$100k), high labour cost, limited pilot efficiency, no career growth for seniors.

Changes in compensation:

- **Monetary (drives ↑ flying hours)**: pay linked to performance / in-flight responsibility / safety; **annual incentive de-linked from company performance**; compensation for *uncontrolled* delays; tied to flying hours.
- **Non-monetary**: insurance, land + house, retirement plans, family care, hotel stays.
- **Perks**: kill career stagnation via **additional career titles** (career development → dollar value), role flexibility, paid vacation.

The intent is to convert “**nemos into sharks**” — pilots who joined as followers must become performers.

Is it sustainable? NO. *Incentives are dangerous — they stick, and people demand more;* over time they can **reduce employees' purchasing power**. Since **90% of the workforce are non-pilots**, the majority must be convinced: **make them feel equal and tie them to the company goal** — otherwise you break **internal equity**. Can you build **acceptability** by being close to employees? The comp system is **inter-connected** with R&S, T&D, and

appraisal.

Why the plan can work: variable costs fall with **economies of scale**; the purpose is to **create supply** of trained pilots; the top line rises via **safety and operational efficiency**; and once pilot supply rises, **variable pay can fall and employee bargaining power drops**. **The industry is what decides whether HR systems can change fast based on need.**

7.2 Motivation Theory (taught here)

Expectancy theory (Vroom): the chain is **effort → performance → reward → valence**, formalised as **Motivational Force = Expectancy × Instrumentality × Valence**. It's **multiplicative** — if any term ≈ 0 , motivation collapses. **Rewards must be valued; if they aren't, the incentive to work is lost.** The worry "*even if I perform, will politics harm my rating?*" is **broken instrumentality**.

The controllability/cone problem: company profit / stock price → **department → group → individual** narrows like a cone. The lower you go, the **less an individual controls** the top-line metric, so rewards get **de-linked from company goals → an alignment problem**. Good comp design *solves the problem of controllability*.

Equity theory (Adams): people compare **outcome ÷ input** against a referent *in the same place* — and *fairness is itself a reward*:

- (my outcome / my input) < (other's outcome / other's input) → **anger / jealousy** (under-reward)
- (my outcome / my input) > (other's outcome / other's input) → **complacency / guilt** (over-reward)

This is **internal equity vs external equity** (fairness within the firm vs fairness against the market).

Perverse incentives — incentives reward what's measured, not what's intended.

Academic anchor: Steven Kerr, "On the Folly of Rewarding A While Hoping for B."

Cautionary examples: the **Vietnam mouse/rat bounty** (people bred the pest — the "cobra effect"); the **Atlanta** school test-score scandal (→ cheating); the **daycare late-pickup fine** (Gneezy & Rustichini — "*A Fine is a Price*": the fine **crowds out** moral obligation and reprices lateness as a transaction, so lateness rose — the notes' "removed the apologetic angle → sense of entitlement"); and healthcare-cost distortions. **Heavy fines create more problems**, and *even people in noble professions fall to wrong incentives*. The safeguard is to watch for **gaming, crowding-out of intrinsic motivation, and goal displacement**, and to ensure the reward has **linkage with everything** (expectancy).

8. Industrial Relations (IR)

Purpose of a union: manage wages and work conditions — though the **state now takes care of many of these factors**, and **media enters if issues blow up**.

The IR function: $IR = f(a, m, t, i, p)$ —

- **a — actors:** owners, trade union, state
- **m — market:** market conditions; open communication
- **t — technology:** level of automation
- **i — ideology:** signalling; level of exploitation
- **p — power:** which stakeholder holds more

Academic anchor: Dunlop's IR Systems Theory (1958). Three **actors** (management/employers, workers/unions, government) interact within three **contexts** (technology, market/budget, distribution of power), bound by a shared **ideology** that stabilises the system into a **"web of rules."** Visually: overlapping circles of **Owner, Labour, Government**, overlapping at **economic, social, ideological, and technological** factors, which together **drive the behaviour of all stakeholders**. Power flows: **power → perceived power → rules/ideology/norms → decreasing everyone's discretion**.

Evolution of management thought: pre-industrial (**master–slave**) → industrial era (**man, machine, material**) → **scientific management / Taylorism** (time-and-motion studies) → **Hawthorne / Human Relations** (the humanistic turn — empathy raises productivity) → **Marx / unionism** enters → **service-predominant** economy. Summarised as *Birth of HR → Hawthorne → Marx (unionism) → Service predominant*. Under scientific management, the interests of **owners and labour were wide apart**; Marx's view was that firms **exploit labour until the bubble bursts**.

Why unions have declined: (1) **state regulation** protects labour interests → less need to unionise; (2) a **caring market** — management runs the bare-minimum requirement, *listens*, offers job security and family ties; (3) **technology** improvements.

8.1 The IR Case (Dunlop applied)

Four things caused the conflict: VRS, suspension, the lunch issue, and the general secretary. (⚠️ *Notebook 1 recorded this loosely as "VKS / lunch"; the clearer VRS / suspension / lunch / general-secretary reading is likely correct.*)

- **Lunch** → a *petty* issue that was allowed to **escalate** — *it's not about lunch, it's an ego tussle*.

- **VRS (voluntary retirement scheme)** → reduces collective bargaining and union power; opens the firm to other factors; adds flexibility; raises a demographic concern. **Accurate assessment of power is necessary — don't aggravate.**
- **General secretary / suspension** → strategically a **bad move**; a value breach; harsh; hurts motivation; a **milder consequence** would have set a better example — though note the *intentions* (violent actions, consistent problematic behaviour, trauma to others). Keep a **de-escalation system running in parallel.**

How to handle IR: know *which details to pick*; keep a **limited** set of problems and solve **proactively**; **acknowledge the cultural shift**; foster **open dialogue and forums**; set up an **inquiry committee to bridge the formal + informal gap**; hear and cater to public demands; use a committee to assess and fix the whole situation — and *take egos aside*: **sometimes you lose to win in IR.**

IR principles: be mindful of overall **ROI**; *you win some wars by not letting them happen*; **IR depends on how much you relate with people**; in the *heat of the moment it becomes "they vs us"* (5 managers vs labourers), so **create empathy**; **ideology >> systems** (why family businesses often have *no unions*); **more HRM → less managerial discretion**; and crucially, *informally, more happens in IR than through the formal IR system* — **the formal system is always there, but the informal matters a lot.**

9. Frameworks — Quick Reference

Framework	One-line essence	Deploy when...
AMO (Appelbaum)	Performance = Ability × Motivation × Opportunity (multiplicative)	Diagnosing any people problem — find the failing lever
Ulrich roles	Strategic Partner / Change Agent / Admin Expert / Employee Champion	Asked what HR <i>should do</i>
CCD / strength of system (Bowen & Ostroff)	Distinctiveness + Consistency + Consensus → shared perception → aligned behaviour	"Will this change stick?"
ASA (Schneider)	Attraction → Selection → Attrition → workforce becomes homogeneous, culture strengthens	Culture fit; why cultures self-reinforce;

		groupthink risk
Dunlop / IR = f(a,m,t,i,p)	Actors + contexts + ideology → web of rules	Any employee-relations / union case
Input–Process–Output control	Control inputs (can't monitor rest, high input cost), process (measurable, cheap, standardised, proprietary), or outputs (cheap/easy to monitor)	Deciding <i>what</i> to control / reduce discretion
SHRM / SSBC	Strategy · Structure · Competency · Behaviour; HRM enables the business decision	Framing a whole case answer
Tournament model (Lazear & Rosen)	Reward by relative rank → effort ↑ but collaboration ↓	Cross-selling/collaboration failures; up-or-out
Signalling (Spence)	Costly, hard-to-fake actions convey hidden info	Change, culture, hiring under asymmetry
Expectancy (Vroom) / Equity (Adams)	V-I-E multiplicative; outcome/input vs referent	Critiquing incentive/comp schemes
Vertical & Horizontal fit	HR ↔ strategy; practices ↔ each other (bundles/HPWS)	"Redesign the HR system"
Harvard / Michigan / Guest / RBV	Stakeholder 4 Cs / HR cycle / practice→performance chain / VRIN	Broad theory questions
Mendelow	Power × Interest → manage-closely / keep-satisfied / keep-informed / monitor	Whom to prioritise among stakeholders
Type 1 / Type 2 errors	Hire a dud vs reject a star; can't be zero	Selection decisions
Kerr's folly / perverse incentives	Rewards hit what's measured, not intended	Any incentive-design critique

The ASA Model (new — worth learning cold)

Academic anchor: Schneider. Over time a workforce becomes **homogeneous** and culture **strengthens** through three stages: **Attraction** (people are drawn to orgs matching their values/goals/personality), **Selection** (the org picks those it believes fit its culture), **Attrition** (misfits leave through dissatisfaction). It explains "culture fit" — and warns of **over-homogenisation** → **groupthink**.

The Input–Process–Output Control Model (new)

Choose *what* to control based on what you can measure: **control inputs** when you can't monitor the rest, input cost is high, or quality/safety is critical; **control the process** when it's measurable, cheap to monitor, cause-effect is understood, standardisation matters, or methods are proprietary; **control outputs** when outputs are cheap and easy to monitor. This is *why systems reduce individual discretion* (the Rob Parson point).

10. Exam Strategy & Synthesis

Open book means application, not memory, wins. Structure every answer as **Diagnose** → **Frame** → **Recommend** → **Trade-off**. Diagnose the *real* problem (symptom vs root cause; "*is the problem even there?*"); name the framework explicitly; recommend specific, sequenced actions split into **formal vs informal** levers; and always name the **trade-off** (Type 1 vs 2, internal vs external equity, short vs long term, process vs outcome, formal vs informal) — that's the single most reliable maturity marker.

The professor's recurring "tells":

Theme	One-liner
Symptom vs root cause	Treat the <i>system</i> , not every small case
Process over outcome	Over-reward the outcome and smart people resist
Informal beats formal	Unless the informal changes, the formal has no impact
Over-involvement	Mehta = too involved; John Mack = <i>strategically</i> available
Consensus > correctness	A "wrong" system with consensus + consistency still works
Numbers ≠ objectivity	Quantified appraisal is still subjective
HRM serves the business	HRM exists to enable the business model / make money

The seven throughlines (for synthesis / compare-across-cases questions):

#	Idea	Where it appears
1	Informal system > formal system	Morgan Stanley, IR, PMS
2	Signalling (1st-order perception → 2nd-order change)	John Mack, Mehta's availability, perks→hierarchy
3	Process over outcome	Morgan Stanley cross-selling, PMS
4	System/macro view vs individual/symptom	Kavitha S ($\Delta 2 \gg \Delta 1$), Mehta, PMS
5	Incentives are double-edged	Xiamen, Kerr's folly, tournament model
6	Equity & fairness drive acceptance	Compensation, Xiamen, support vs core teams
7	Subsystems must link (vertical + horizontal fit)	Every case

Likely question types → skeletons: *diagnose the real problem* (symptom vs system); *redesign the HR/comp/PMS system* (AMO coverage → vertical+horizontal fit → subsystem linkages → trade-offs); *why won't changing the rules work?* (informal system + signalling + CCD); *critique this incentive scheme* (expectancy + equity + Kerr's folly); *how to handle Desai/Rajesh/Mehta* (system vs individual, delegation, ROI of involvement); *apply a framework at every level* (macro → industry → company → group → individual).

Mnemonics: AMO (A·M·O, weakest link); Vroom (V·I·E); strong system (D·C·C — the "CCD"); Dunlop actors G·L·O + contexts T·M·P; subsystems R&S → T&D → PMS → Comp → Exit; Type-1 "let the wrong **one** in," Type-2 "turn the **two**-good away."

Exam-format hints from the notebooks: a **30-mark framework question** can be used to *start or end* a case answer and give the whole response its structure — pick a framework and hang everything on it; **link the framework to a specific sub-system** rather than keeping it abstract; PMS-style answers ran **~6–8 pages**; **Citibank** was referenced as an example; keep a ready one-liner for "*What is HRM?*" → **balance the individual and the organisation; integrated subsystems (formal + informal); strategy formulation + implementation; HRM must enable the business decision** ("*Jack Welch + John Mack = goals*").

Appendix — Discrepancies & Caveats

Where the two source notebooks differ (confirm which your professor used):

- **MS-2 type:** “dolphin” (Notebook 1) vs “goldfish” (Notebook 2) — same idea, a non-predatory collaborative type.
- **SHRM:** Strategy/Structure/Competency + “business model” (Notebook 1) vs **SSBC = Strategy/Structure/Competency/Behaviour** (Notebook 2).
- **IR case labels:** “VKS / lunch” (Notebook 1) vs **VRS / suspension / lunch / general secretary** (Notebook 2, clearer).
- **CCD emphasis:** Distinctiveness matters mainly *when something new is introduced*; otherwise Consistency + Consensus carry the load.

Caveats:

- Items marked as *Academic anchors* (Appelbaum, Vroom, Adams, Spence, Lazear & Rosen, Bowen & Ostroff, Kelley, Dunlop, Kerr, Gneezy & Rustichini, Ulrich, Schneider, Mendelow, Pfeffer, Beer, Fombrun, Barney) are the scholarly homes of concepts, mapped to the class material to add precision — **defer to your professor’s framing in the exam.**
- A few names were ambiguous in the original handwriting (e.g., the Vedanta board member, “Salvador/Lineath,” “Manager Katti”); they’re kept as the notes had them, with no invented backing.

End of notes.